



Whangarei District Council

Report to the Risk and Audit Committee
for the year ended 30 June 2024

November 2024



Purpose of report

This report has been prepared for Whangarei District Council's Risk and Audit Committee ("the Committee") and is part of our ongoing discussions as auditor in accordance with our engagement letter and master terms of business dated 5 August 2024 and as required by New Zealand auditing standards.

This report is intended for the directors and should not be distributed further. We do not accept any responsibility for reliance that a third party might place on this report should they obtain a copy without our consent.

This report includes only those matters that have come to our attention as a result of performing our audit procedures and which we believe are appropriate to communicate to the Committee. The ultimate responsibility for the preparation of the financial statements rests with the Councillors.

Responsibility statement

We are responsible for conducting an audit of Whangarei District Council for the year ended 30 June 2024 in accordance with New Zealand auditing standards issued by the NZ Auditing and Assurance Standards Board. Our audit is performed pursuant to the requirements of the Financial Reporting Act 2013, the Local Government Acts 1974 and 2002, and the Local Government (Auckland Council) Act 2009, with the objective of forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of the directors. The audit of the financial statements does not relieve management or the directors of their responsibilities.

Our audit is not designed to provide assurance as to the overall effectiveness of the Group's controls but we will provide you with any recommendations on controls that we may identify during the course of our audit work.



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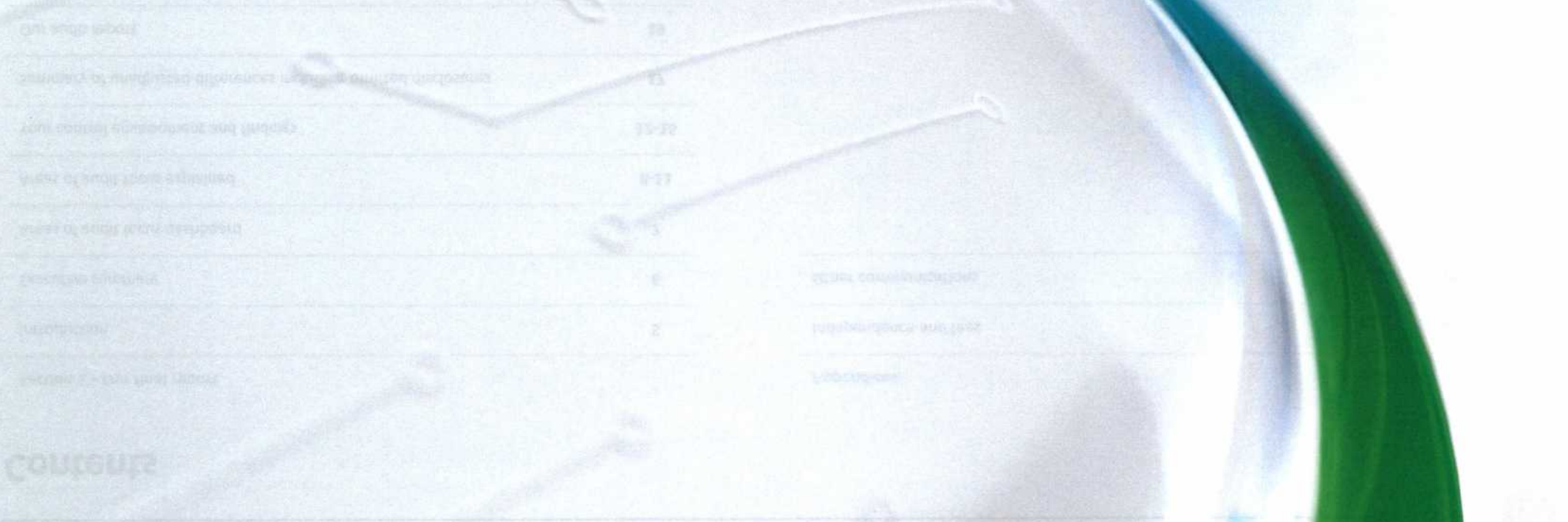
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Our final report





Introduction

Dear Committee members

We are pleased to provide you with the results of the audit of Whangarei District Council (the 'Group') for the year ended 30 June 2024.

Included in this report are the results and insights arising from our audit which we consider appropriate for the attention of the Committee. These matters have been discussed with management and their comments have been included where appropriate. We also include those matters we are required to report to you in accordance with the auditing standards. As a result, this report is intended for the Committee (and other Council members) and should not be distributed further.

We would like to take this opportunity to extend our appreciation to management and staff for their assistance and cooperation during the course of our audit.

Yours sincerely,

A handwritten signature in black ink, appearing to read 'B Henderson', written over a light blue horizontal line.

Bryce Henderson, **Appointed Auditor**
Partner for Deloitte Limited
Auckland | November 2024



Executive Summary

This executive summary details the key matters arising from our audit

Key areas of audit focus		Status
1	Management override of controls	
2	Revaluation of infrastructure assets	
3	Statement of service performance	
4	OAG Audit Brief and other items	

Misstatements and deficiencies – Council			
(\$000)	As presented	Aggregate unadjusted misstatements	Adjusted Balance
Assets	2,805,602	(2,559)	2,803,043
Liabilities	(319,828)	1,473	(318,355)
Equity	(2,485,774)	1,520	(2,484,254)
Comprehensive revenue and expense	(349,435)	(434)	349,001

Status of Audit

Our audit is substantially completed subject to the following substantive matters being

- Receipt of the finalised annual report;
- Completion of internal quality procedures;
- Council to approve the annual repot contents and representation letter; and
- Completion of subsequent event procedures.

We will update you on these outstanding items throughout the period to signing.

Matters of interest

Signing timetable

Given the delays in the financial reporting processes, the signing of the annual report has been deferred past the 4-month statutory deadline. Legislation provides that WDC are entitled to take the exemptions provided by the Water Services Acts Repeal Act 2024 so the deadline is now 31 December.

Completed, no issues noted.

Completed, insights identified.

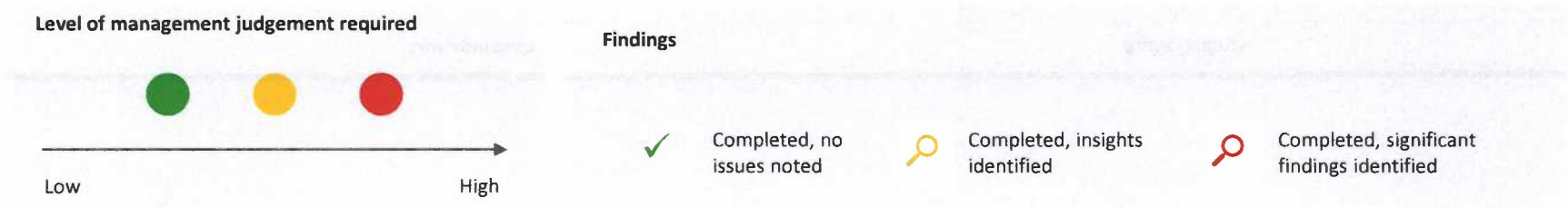
Completed, significant findings identified.



Areas of audit focus – dashboard

The following areas of audit focus are consistent with the areas identified in our planning report.

Area of audit focus	\$	Relied on controls	Level of management judgement required	Findings	Page #
Management override of controls	N/A	✗	N/A		8
Revaluation of infrastructure assets	\$331m	✗			9
Statement of service performance	N/A	✗			10
OAG Audit Brief and other items	N/A	✗			11





Areas of audit focus

Area of audit focus	Our approach	Audit findings
Management override of controls We are required to design and perform audit procedures to respond to the risk of management's override of controls.	We have: • Built an understanding and evaluated the financial reporting process and the controls over journal entries and other adjustments made in the preparation of the financial statements. • Tested the appropriateness of a sample of journal entries and adjustments and made enquiries about inappropriate or unusual activities relating to the processing of journal entries and other adjustments. • Reviewed accounting estimates for biases that could result in material misstatement due to fraud, including assessing whether the judgements and decisions made, even if individually reasonable, indicate a possible bias on the part of management. • Performed a retrospective review of management's judgements and assumptions relating to significant estimates reflected in last year's financial statements. • Obtained an understanding of the business rationale of significant transactions that we became aware of that were outside the normal course of business or that otherwise appeared to be unusual given our understanding of the Group and its environment.	Deloitte note that WDC do not have a process in place to individually review each journal that is posted by all the users within TechOne that have access to posting within the system. We also noted through the walkthrough of the Financial Reporting Process cycle for FY24 and from discussions with the Senior Financial Accountant, WDC generally does not review manual journals before it is posted into the TechOne system. Without appropriate Segregation of Duties controls, the ability to take a control reliance on underlying system processes is limited. Refer to our observation in the section "Your control environment and findings".



Areas of audit focus

Area of audit focus	Our approach	Audit findings				
Revaluation of Infrastructure Assets The Council accounts for revaluations of infrastructure assets on a class of asset basis. The asset classes include roads, land under roads, water reticulation, wastewater reticulation, stormwater systems and flood protection assets. Land associated with the wastewater system, water and flood protection assets are also treated as a separate class of infrastructure asset. Management have adopted a rotation plan for revaluing the asset classes so the valuations are not all completed in the one year. Assets that experience significant changes in fair value are revalued outside the rotation plan. We noted that in the FY24 the revaluations included almost all assets class, with the only exception of pensioner housing. The impact of the revaluations this year are currently: <table><tr><td>Roading</td><td>\$115.2m uplift</td></tr><tr><td>Three waters and land drainage</td><td>\$215.8m uplift</td></tr></table> Management has booked the revaluation movement of roading, three waters and land drainage in 2024 with a restatement adjustment of stop banks made for \$73.6 million.	Roading	\$115.2m uplift	Three waters and land drainage	\$215.8m uplift	In order to address this risk, we have: • Obtained the independent valuations of the relevant infrastructure asset classes namely roading; • Obtained representations directly from the independent valuers confirming their valuation methodology; • Reviewed the key underlying assumptions used by the independent valuers to determine whether these assumptions were reasonable and in line with NZ generally accepted accounting practice (NZ GAAP); • Held various discussions with the valuers as appropriate; and • Determined whether the revaluation transactions are correctly accounted for and disclosed in the financial statements in compliance with NZ GAAP. If there is significant valuation uncertainty noted, ensure that this has been adequately disclosed in the financial statements; • Reviewed managements analysis to identify any material fluctuations in value of assets not revalued in the current year; and • Reviewed the disclosures in the financial statements on the revaluation assumptions.	<u>Revaluation movements</u> During our review of the Three Waters valuation analysis, we identified that there was the opportunity for management to increase the rigour in terms of accounting papers for this analysis. We will discuss this in our management letter which is issued subsequent to the annual report signing. Our testing of the roading valuation identified variances between the accounting systems and that of the underlying roading system (RAMM) in terms of sunk costs. Additional work was undertaken with management to understand and resolve such variances which primarily relate to costs incurred which would not be repeated in a renewal scenario or relate to increased service levels. Refer to our roading valuation observation in the section “Your control environment and findings” Quality of data records As in prior years, the valuer has made a small number of recommendations to management which we will raise in our management letter. Good quality data also informs Council on the level of renewals that is required in future years and potentially impacts on the future rates required to be collected.
Roading	\$115.2m uplift					
Three waters and land drainage	\$215.8m uplift					



Areas of audit focus

Area of audit focus	Our approach	Audit findings
Statement of service performance The Council’s annual report is required to include an audited Statement of Service Performance (“SSP”) which reports against the performance framework included in the LTP. The SSP is an important part of Council’s annual performance reporting and it is important it adequately “tells the performance story” for each Group of activities. We are to consider whether the service performance information: • Is based on appropriately identified elements (outcomes, impacts, outputs), performance measures, targets/results; and • Fairly reflects actual service performance for the year (i.e. not just reports against forecast).	• We reviewed Council’s SSP against legislative requirements and good practice. This included checking consistency with the performance framework included in 2021-2031 LTP and 2023/2024 annual plan; • We gained an understanding from management on how they intend to ensure the completeness and accuracy of underlying data forming part of the performance measures. • We audited a sample of reported performance measures, with a focus on the more significant Council activities; and • We reviewed the narrative commentary and explanatory information provided in the annual report to ensure that this provides sufficient information to the readers i.e. “tells the performance story”.	We have seen some improvement from the prior year although there are still areas to work on so the prior year recommendations have been raised again where applicable. Refer to our observation in the section “Your control environment and findings”.



Areas of audit focus

Area of audit focus	Our approach	Audit findings
OAG Audit Brief and Other items OAG Audit Brief The OAG Audit Brief has been updated (no material impacts for 2023/24 audit). The main areas of focus include: • Recovery from significant weather events, Related party transactions, conflicts of interest and severance payments • Legislative compliance • Effectiveness, efficiency, waste and probity: Good practice involves the establishment of policies and controls to ensure that expenses have a justifiable business purpose; preserve impartiality; have been made with integrity; are moderate and conservative; have regard to the circumstances; have been made transparently; and are appropriate in all respects. • Procurement: Procurement is an area of focus for the work programme of the Auditor-General (OAG) and while no specific projects have been identified relating to local government at this stage for 2023/24, it is expected that major capital projects and significant procurement activity are areas where audit effort is focused. • Central government/stimulus funding: It is important that Council is accounting for this funding in accordance with PBE accounting standards, being transparent with communities and meeting any obligations. • Climate Change: Climate change is an area of focus for the work programme of the OAG as Local government is becoming a focus for climate change related action. The OAG focuses on the Councils ability to provides for the resilience of infrastructure assets to the risk of natural hazards, including making sufficient financial provision to respond to these risks. • Most councils were previously members of the New Zealand Mutual Liability Riskpool scheme (Riskpool). In November 2023, Riskpool made a call on member councils to fund quantified shortfalls. The amount to be funded by member councils was \$12.9 million. Riskpool reserves the right to made further calls for additional funding if it is needed.	We held discussions with management to understand the plans and processes in place to address the focus areas of the OAG, including understanding any information requests from central government organisations during the period. We held discussions with management on the overall impact of weather events recovery on damages, amounts claimed to date and future operating and capital expenditure plans noting no significant impact outside of additional funding from government. Council received \$50.2m of funding in FY24 in the form of subsidies and grants. We have reviewed contracts and focused on the risk that revenue may not be recorded in the appropriate accounting period due to incorrect recognition or deferral of revenue. This could arise from incorrectly identifying conditions or restrictions associated with revenue transactions or incorrectly applying the contractual terms associated with the timing of when revenue is recognised. We remained alert for issues of effectiveness and efficiency, waste, and a lack of probity or financial prudence throughout the audit. We also : • Assessed policies and procedures in place for expenses and procurement processes, and • Tested a sample of expenses for appropriateness against good practice and other guidance issued as relevant for the Group. Our tests focused primarily on sensitive expenditure such as board and senior management pay, travel and expenses; large contract tenders; related party transactions; and payments to offshore locations. On procurement, we have reviewed a sample of contracts entered into by the Council against the procurement policy.	Testing was performed as planned. We note that WDC is not a climate reporting entity, and as such, are not required to report their emissions. We are aware that assurance on emissions has been requested but are currently unsure on the status or timing of this. We noted some areas of improvement, and these will be reported in our management letter or in the control findings section. Our management letter is issued subsequent to the annual report signing.



Your control environment and findings

Details of findings identified

Our audit approach requires us to obtain an understanding of an entity's internal controls, sufficient to identify and assess the risks of material misstatement of the financial statements whether due to fraud or error. We remind you that our audit is not designed to express an opinion on the effectiveness of the controls operating within the Group, although we have reported to management any recommendations on controls that we identified during the audit. The matters being communicated are limited to those deficiencies identified that we have concluded are of sufficient importance to merit being reported. Our recommendations for improvement should be assessed by you for their full commercial implications before they are implemented.

Observations and recommendations in the current period that have not been included in other parts of our report

We have not identified any significant deficiencies in internal controls which would impact upon our ability to provide our opinion. However, we did note a number of control observations and expect to issue a Management Letter shortly at the conclusion of our audit testing. The most significant control observations in relation to the focus areas only within this report are identified as detailed below. We note that testing in these areas may not be complete so additional findings may be identified.

Finding/observation	Business implication from control deficiency	Deloitte recommendation	Management response and remediation plan
Statement of service performance measures – controls around methodology and reporting	There did not exist detailed system notes for performance measures identified as significant.	For each performance measure, management should have its methodologies agreed and signed off by the data owner and reviewer. This will ensure that the methodology is applied consistently each year.	Noted and this will be reviewed in the current year. While improvements were made following the 2022-23 audit, management acknowledge that further work is required to improve the processes around methodologies, documentation, the collection and collation of data, and retention of interim data and results.
	There is a weak control environment surrounding the extraction and determination of data used as inputs for the purposes of quantifying performance measures.	When reviewing results, the reviewer should agree the result back to supporting documentation, to ensure consistency between the reported and actual result.	
	For certain performance measures, there are disparities and inconsistencies between the reported results and the supporting documentation provided, where the former does not reconcile to the latter.	The performance measure owner should ensure all system-generated reports/information used in the determination of the measure are retained and can be traced back to its source.	
	For certain performance measures, there were still discussions around the intention and methodology to be used in its measurement during audit testing.	Controls to address the accuracy and completeness of data inputs should be put in place, particularly where there is reliance on non-financial systems.	
	Methodologies were not always consistently applied during the year, often due to staff changes or no documented methodology (see above), in which some prior year measures were incorrect.	Detailed system notes should be maintained for each performance measure, to 1) ensure the performance measure owner clearly understands how the measure should be derived and 2) to improve efficiencies across audit testing.	
	For certain performance measures, there did not exist an audit trail, in which data used to derive the results were unable to be traced back to its source.		



Your control environment and findings

Details of findings identified

Finding/observation	Business implication from control deficiency	Deloitte recommendation	Management response and remediation plan
Statement of service performance measures – Inconsistencies with customer service request data	There are inconsistencies and disparities between Job Sheets uploaded by third party service contractors and data recorded into TechOne. Furthermore, there does not exist a process in place to validate judgements made by external contractors, in which customer service request data entered into TechOne may not be a true reflection of the situation at hand. Given numerous measures place reliance on the time/date in which the requests are attended to/responded to by contractors, it is pivotal that contractors input the correct data attributes.	Management should implement quality control over the competency levels of third-party contractors, including training, setting clear expectations, and performing regular quality checks.	Noted and this will be reviewed in the current year.
Statement of service performance measures – Timing inconsistencies	An average across all months within the reporting period was used to quantify certain measures, rather than calculating the measure after year-end with data pertaining to the entire year.	Management should ensure that measures quantified monthly for internal reporting purposes are also quantified separately at year-end to derive the annual result, rather than taking an average across all months within the reporting period.	Noted and this will be reviewed in the current year.



Your control environment and findings

Details of findings identified

Finding/observation	Business implication from control deficiency	Deloitte recommendation	Management response and remediation plan
Lack of manual journal entry review	The lack of review over manual journal entries is considered a significant deficiency. Management is in a unique position to override controls via the use of manual journal entries and a lack of control increases the risk of inappropriate manipulation of controls and the amounts recorded in the general ledger. In the absence of strong journal entry controls, there is a risk that unauthorised posted JEs are fraudulent or contain errors in financial reporting. Ultimately, a weak journal entry control environment may result in inaccurate financial statements and reports and increases the exposure to fraud and error.	Access to journal entries should be restricted to specific team members with the appropriate authority and a control implemented whereby journals are not able to be posted without adequate review.	Management accepts this comment. However, resourcing, workload, and the volume of transactions processed makes the review of all journals impractical. Management must weigh up the costs, benefits and risks of implementing further controls Staff consider there are adequate controls in place for the high-volume transactions as the postings to the general ledger from the property and rating and ECR ledger are reconciled and or analysed daily, monthly, quarterly or annually depending on the frequency of transactions; e.g. banking daily, rates setting annually.
Improper review of balance sheet reconciliations	Due to the inherent lack of review over journal entries, adequate reviews of the balance sheet reconciliations should take place as a compensating control. Management is in a unique position to override controls, and a lack of review increases the risk of inappropriate manipulation of controls and inaccurate amounts recorded in the general ledger. Ultimately, a weak review of balance sheet reconciliation control environment may result in inaccurate financial statements and reports and increases the exposure to fraud and error.	All accounts within the monthly balance sheet reconciliation should be reviewed by appropriate personnel in a timely manner.	Management accepts this comment. Processes will be improved to ensure that all balance sheets are reviewed on a frequent and timely basis.



Your control environment and findings

Details of findings identified

Finding/observation	Business implication from control deficiency	Deloitte recommendation	Management response and remediation plan
Revaluation of infrastructure assets	We encountered difficulties matching and reconciling data provided by the Council to the valuers and the data that was included in the financial system. These include: - Difficulties in reconciling roading additions to RAMM for completeness. Whilst the value of the respective systems are validly different, ensuring the assets themselves are included within RAMM should be checked. - As management conducted their own valuation on Infrastructure Asset (non-roading), obtaining the same level of analysis and documentation versus that which is normally available under an external reviewer occurred.	We recommend that Council perform some form of reconciliation between the RAMM and their General ledger at an asset level. An analysis as to the granularity of this should occur to determine at what level if needed. Additionally, Deloitte recommends the Finance team and Asset Management team actively communicates together to prevent variances arising for reporting purposes A review of the respective processes of both the Finance and the Roothing Asset team should occur to understand the reasons for reconciling items occurring in the first instance and then instigating a process to allow such items to be quantified.	The current method of capturing data in RAMM presents significant challenges when it comes to reconciling this data with the General Ledger. Management will explore opportunities to allow for a reconciliation between RAMM and the General Ledger including investigating best practice across other Councils who also use RAMM. Management acknowledges the recommendation for non-roading infrastructure revaluations.



Your control environment and findings

Details of findings identified

Finding/observation	Business implication from control deficiency	Deloitte recommendation	Management response and remediation plan
Procurement testing As part of our procurement testing, we noted that: - WDC does not maintain a centralised contract register resulting in difficulty in tracking procurement progress/ spend and document retention. - WDC's procurement policy is centred around "risk categories" which determine the treatment of the procurement plan. However, WDC does not maintain documentation around the determination of these categories for each procurement undertaken.	Lapses in procurement policy can result in legal implications such as non-compliance with regulations, financial implications due to inefficiencies or potential fraud, and reputational implications stemming from negative public perception or loss of trust.	WDC is starting to consider maintaining a centralised contract register to track procurement progress/ spend as well as a centralised storage for all procurement related documents. In addition, risk category assessment should be documented and retained. Where relevant, finance and legal review should be documented and retained.	Council's Procurement Plan template requires staff to consider the risk matrix and determine the appropriate Risk Category. This is noted in the Procurement Plan along with comments as to measures taken to fulfil the requirements outlined in the Policy in Table 2, page 17. If required by the Policy, finance and legal reviews are completed and saved in the CON folder in Kete



Summary of unadjusted differences

We have communicated to management all misstatements accumulated during the audit and have requested that management correct those misstatements. We have obtained an understanding of the misstatements below, and management's reasons for not making the corrections, and based on our evaluations have determined that no uncorrected misstatements individually or in aggregate, have a material effect on the financial statements for the year ended 30 June 2024.

The unadjusted differences we have identified are set out below.

Unadjusted misstatements identified	Assets Dr/(Cr) (\$'000)	Liabilities Dr/(Cr) (\$'000)	Equity Dr/(Cr) (\$'000)	Profit or loss Dr/(Cr) (\$'000)	If applicable, control deficiency identified
<u>Current year:</u>					
Whangarei Harbour Marina Management Trust - WHMMT - Reclass of un-drawn funds	(1,898)	1,898			No
Cash Balances - Reclass at Consolidation level - WQGT	(303) 303				No
Infringement debtors ECL – Under provisioning	(650)			650	Yes
Land rate ECL – Under-provision for current debtors	(115)			115	Yes
Reclassification of credit balances in the Debtors ATB to creditors	667	(667)			No
Reclassification of debit balances in the Creditors ATB to debtors	(242)	242			No
Asset revaluations – unreconciled difference	(321)		321		No
<u>Prior year items impact on current year</u>					
RAMM Valuation not updated			(2,500) 2,500		
Infringements listing reconciling difference			310	(310)	
Infringement debtors ECL - under provision factoring in time value of money			329	(329)	
Riskpool call not accrued for			150	(150)	
Buildings that are held for sale are not being held at their probable disposal value of \$1			410	(410)	
Total before tax	(2,559)	1,473	1,520	(434)	

Note: Immaterial balance sheet and income statement reclassifications have not been included in the summary of unadjusted differences



Summary of omitted disclosures

In performing our audit, no material uncorrected disclosure deficiencies were detected in the financial statements. The following omitted disclosures remain uncorrected in the financial statements and management has determined that these do not result in a material misstatement of the financial statements or non-compliance with the applicable legislative framework.

Omitted disclosures assessed by management as not being material	Ref	Amount (where applicable)	Management’s response
Fair value disclosure: Each class of financial assets and financial liabilities shall disclose the fair value of that class of assets and liabilities in a way that permits it to be compared with its carrying amount. In disclosing fair values, an entity shall group financial assets and financial liabilities into classes, but shall offset them only to the extent that their carrying amounts are offset in the statement of financial position.	IPSAS 30 29-31	NA	Not material. Additional fair value disclosure will be considered
ECL - An entity shall explain the inputs, assumptions and estimation techniques used to apply the requirements in paragraphs 73-93 of PBE IPSAS 41. For this purpose an entity shall disclose: (a) The basis of inputs and assumptions and the estimation techniques used to: (i) Measure the 12-month and lifetime expected credit losses; (ii) Determine whether the credit risk of financial instruments has increased significantly since initial recognition; and (iii) Determine whether a financial asset is a credit-impaired financial asset.	IPSAS30 42	NA	The provision for doubtful debts were calculated based on the model provided by Deloitte. Unfortunately the methodology was not fully understood. Due to the clarification being provided after final allocations had been completed, and the fact that the differences were considered immaterial, the provision was not adjusted. Staff expect that the ECL calculation for doubtful debts will meet IAS 41 next year



Our audit report

Matters relating to the form and content of our report

Here we discuss how the results of the audit impact on our audit report.



Our opinion on the financial statements

Subject to completion of outstanding matters discussed below, we expect to issue an unmodified opinion on the financial report.



Going concern

We have not identified a material uncertainty related to going concern and will report by exception regarding the appropriateness of the use of the going concern basis of accounting.



Emphasis of matter and other matter paragraphs

No items noted.



Other reporting responsibilities

We will prepare a Summary of Audit Findings which will be presented to the OAG. The report highlights significant matters, issues, or risks considered in the audit.

Outstanding matters required before we can issue our opinions and/or report are noted in the executive summary.





Report on our system of quality management

Deloitte believes an effective system of quality management (SQM) is crucial for the consistent performance of high-quality audit engagements and we continue to make significant investments in our people, processes, and technologies that underlie Deloitte’s quality management processes.

Regulators and standard setters in New Zealand and globally are also focused on the effectiveness and continued improvements in firms’ SQMs. Deloitte New Zealand complies with Professional and Ethical Standard 3 *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* (PES 3) which requires annual evaluation of the SQM.

PES 3 introduced a risk-based approach to the SQM that require firms to respond to quality objectives and risks to our ability to execute high-quality audits in the following areas:

• The firm’s risk assessment process	• Engagement performance
• Governance and leadership	• Resources
• Relevant ethical requirements	• Information and communication
• Acceptance and continuance of client relationships and specific engagements	• The monitoring and remediation process

The effective implementation of PES 3 has been and remains a key element of Deloitte’s audit and assurance quality strategy.

As part of the implementation of PES 3, quality objectives, quality risks and responses were formalised and brought together in a globally consistent technology platform to facilitate the design and maintenance of the system, as well as the operation through tri-annual self-assessments by business process owners and reporting capabilities to support the required annual evaluation.

Deloitte New Zealand continues to work with leaders across the firm, as well as the broader network, to further enhance our proactive approach to managing the quality of engagements performed—identifying and addressing risks to audit quality and driving continued advancements in quality management processes serves us well into the future as the environment within which we operate continues to evolve and become increasingly complex. Consistent with Deloitte’s culture of continuous improvement and innovation, Deloitte New Zealand’s efforts relating to PES 3 and our SQM provide us the opportunity to challenge ourselves—examining

those areas where we can further enhance and transform our SQM. Quality is always front and centre, and robust audit quality monitoring processes play an integral role in our ability to continually improve.

PES 3 requires an annual evaluation of the SQM. Deloitte New Zealand performed its annual evaluation of its SQM as of 31 May 2024. This evaluation is required to be shared with those charged with governance when performing an audit of financial statements of FMC reporting entities considered to have a higher level of public accountability.

Conclusion on the effectiveness of the system of quality management

Deloitte New Zealand is responsible for designing, implementing, and operating a SQM for audits or reviews of financial statements, or other assurance or related services engagements performed by the firm, that provides the firm with reasonable assurance that the objectives of the SQM are being achieved. The objectives are:

- The firm and its personnel fulfill their responsibilities in accordance with professional standards and applicable legal and regulatory requirements, and conduct engagements in accordance with such standards and requirements; and
- Engagement reports issued by the firm or engagement partners are appropriate in the circumstances.

Deloitte New Zealand conducted its evaluation in accordance with PES 3.

Deloitte New Zealand concluded that the SQM provides the firm with reasonable assurance that objectives of the SQM are being achieved as of 31 May 2024.

Reasonable assurance is obtained when the system of quality management reduces to an acceptably low level the risk that the objectives of the SQM are not achieved. Reasonable assurance is not an absolute level of assurance, because there are inherent limitations of a system of quality management.

Mike Horne, Chief Executive Officer
for Deloitte Limited



Managing public funding in an emergency response or recovery

Observations from the OAG

While funding and purchasing decisions may need to be made quickly in an emergency response, public entities still need to ensure that there is transparent and accountable decision-making, with the public entity getting value for money, and acting lawfully. In March 2023, the OAG issued their observations to help public sector staff who are setting up and running emergency response and recovery initiatives.

The report available [here](#), covers these topics:

- Core principles for funding and purchasing decisions
- Consistent, transparent application processes and clear criteria provide a strong foundation
- Reasons for awarding funding should be clearly explained and well documented
- Managing conflicts of interest helps protect trust and confidence
- A high-trust approach needs post-payment verification to mitigate the risk of fraud and error
- Clear expectations need to be set for the staff involved
- Consider where and how the funding fits in with performance reporting

Core principles for funding and purchasing decisions [Extract]

There are fundamental principles that govern how public organisations use money to pay for or fund external parties, no matter what level of urgency.

The principles are:

- *Accountability*
- *Openness*
- *Value for money*
- *Lawfulness*
- *Fairness*
- *Integrity*





Quality of accounting records

Council's legislative responsibility to keep appropriate accounting records has taken more of a spotlight in recent times.

Regulators have identified this as one of their focus areas.

Regulators are concerned with the quality of information provided, who specifically carries out a financial reporting surveillance programme of financial statements and expects to see proper accounting papers documenting:

- the support for entities' significant judgements and estimates; and
- how the accounting for complex transactions complies with GAAP.

Regulators' interest in the area also arises because they continue to see a connection between the quality of accounting records and audit quality.

Although the lack of appropriate accounting records alone will rarely be the sole cause of a business to fail, issues with the financial statements commonly feature in liquidation cases. Such breaches are easy to identify retrospectively and can result in those charged with governance becoming personally liable to creditors of the business as well as fines.

Accounting continues to become increasingly complex while at the same time, the level of regulatory scrutiny rises.

While elected members are not expected to be accounting experts, there must be records demonstrating that they have:

- Adequately questioned and assessed the key accounting treatments applied;
- Applied professional scepticism when assessing management's views on areas on significant judgements and estimates; and
- Acted on a fully informed basis, in good faith and with due diligence and care.

Ultimately, just like any other key decision made by the Council, the decisions relating to accounting issues must be recorded and be defended by proper analysis and support.

Accounting papers should be prepared for key, complex transactions and where there have been significant judgements or estimates.

We note that as a general rule, WDC do not prepare accounting papers on key issues unless requested by Audit. We believe that accounting papers should be completed where there are key judgements, material issues or other areas of a sensitive nature. These should also be of appropriate quality and referencing to accounting guidance.



Independence and fees

Fees

The professional fees earned by Deloitte Limited in the period from 1 July 2023 to 30 June 2024 are as follows:

	CY (\$'000)	PY (\$'000)
Fees for the audit of Whangarei District Council annual report*	323	326
Scope extension due to overruns from prior year	33	28
Other assurance engagements relating to the Debenture Trust Deed and audit of the Register of Security Stock	5	5
Total audit related and other assurance fees	361	359
Estimated disbursements including technology charge	23	23
Total billing	384	382
Other fees in Group -NRLLP	24	22

* Includes OAG audit standards and quality support charge of 31k)



Other communications

Additional matters we report to you in accordance with the requirements of New Zealand auditing standards

Accounting policies / Financial reporting	There were no changes in accounting policies during the year ended 30 June 2024. We have not become aware of any significant qualitative aspects of the Group's accounting practices, including judgements about accounting policies, accounting estimates and financial statement disclosures that need to be communicated to you.
Related parties	No significant related party matters other than those reflected in the financial statements came to our attention that, in our professional judgement, need to be communicated to you
Written representation	A copy of the representation letter to be signed on behalf of the Council has been circulated separately.
Specialists	As planned, specialists assisted in the audit to the extent we considered necessary. The findings arising from their involvement will be communicated in our management letter.
Group considerations	In relation to our audit work on components of the group we bring the following matters to your attention: • All audits of the CCOs were completed within the statutory deadline being 30 September
Compliance with Laws and Regulations	The Group is also required to ensure that its operations are conducted in accordance with the provisions of laws and regulations, including compliance with the provisions of laws and regulations that determine the reported amounts and disclosures in the financial statements.
Fraud Characteristics	In relation to fraud, the primary responsibility for the prevention and detection of fraud rests with management and the directors, including establishing and maintaining internal controls over the reliability of financial reporting. • We did not identify any indicators of fraud in our testing, nor has management informed us of any frauds.
Significant matters discussed with management	Other significant matters arising during the audit that have been discussed with management include the following: • WHMMT accounting • Timing of PPE Roding Testing and impact on reporting timetable



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